Discussion on “Micropensions: Helping the Poor Save for Old Age”

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The big questions

- How do we encourage accumulation of wealth to finance retirement consumption?
  - Difficulties in mandating employer based contributions
  - Transactions costs
  - Consumer protection
- What do we do with the NPS-Swavalamban scheme going forward? Do we continue with the matched contributions?
  - Some measure of a cost-benefit analysis

Evidence from administrative data

Sane and Thomas (2014)

- Adoption is about 10-12 percent of the universe of customers. Much lower than the 80% in the paper
- Only 50% of the participants manage to contribute upto Rs.1000 in at least one financial year. Unfortunately, the conversation has become centered around the threshold
- The relatively poor have a higher probability of participation, but the relatively rich are more likely to get the matched contribution.
- Persistence has been improving over the years
- Inability to contribute Rs.1000 in one year does not imply low contributions throughout.
- Limited evidence that multiple small valued transactions work - one lumpsum contribution of Rs.1000 is more effective. Contrary to a suggestion made in the paper

Definitions

- Informal savers?
- Lifetime poor?
- This matters for who we think the target population for the particular product is.
- A contractual academic at the Indian Statistical Institute is an *informal* sector worker. But not a target for micropensions.

The Rs.1000 threshold

- The design of a threshold
- The match may not exist after March 2017
- The other questions need to be asked in the context of this threshold.
- For example, annual willingness to contribute goes down to less than Rs.1000 for other features. Does this mean people are willing to let go of the co-contribution?

On savings

- Saving account is positively correlated with take-up
- Will this be additional saving, or will it crowd out saving from somewhere else?
- Has implications for the design of the NPS-S.

In conclusion

- Very important question
- A part of a larger academic and policy literature on design of pension products for low income informal sector workers
- Some re-orientation to the implications for the design of co-contribution parameters